

CORPORATE FINANCE & STRATEGY

Mergers & Acquisitions Framework

Transaction Structures, Advisory Workflows & Synergy Realization

Core Transaction Types

Merger

Two entities of roughly equal size combine operations to form a single, brand-new enterprise.

Mutual Combination

Acquisition

One firm purchases another. The target company either becomes a subsidiary or is fully absorbed.

Buyout / Absorption

Consolidation

Multiple firms combine to form an entirely new entity; original legal corporations cease to exist.

Citicorp + Travelers → Citigroup

Direct & Hostile Deal Structures

Tender Offer

Acquirer makes a direct public offer to target shareholders to purchase their stock at a specified price.

Real-World Benchmark:

Kraft's public tender offer to acquire Cadbury plc (2010).

Hostile Takeover

Acquirer completely bypasses target management and board, appealing directly to shareholders.

Real-World Benchmark:

Vodafone's historic takeover of Mannesmann (1999).

Corporate Strategy Options



Divestiture: Refocusing strategy and raising capital by selling non-core business units or subsidiaries.



LBO (Leveraged Buyout): Acquiring a company using a significant amount of borrowed funds to meet purchase cost.



Joint Venture: Creating a distinct, new legal entity with shared equity, risk, and governance.



Buy-Side Advisory Process



-  **Target Identification:** Screen and map potential targets aligned with acquirer's strategic vision.
-  **Valuation Modeling:** Perform DCF, Comparable Companies, and LBO models to establish pricing range.
-  **Due Diligence:** Conduct rigorous operational, legal, and financial target company audits.
-  **Negotiation & Terms:** Secure favorable pricing, indemnities, and structural conditions.

Key Case: Google acquiring YouTube (2006) — Strategic inorganic expansion.

Sell-Side Advisory Process

-  **CIM Preparation:** Draft Information Memorandum & teaser materials.
-  **Quality of Earnings:** Internal financial due diligence before market entry.
-  **Auction Process:** Run competitive bidding to drive deal valuation.
-  **Execution:** Finalize buyer negotiations and manage closing conditions.



Lazard & Goldman Sachs advised Twitter Board on sale options (2022).

The Synergy Equation

$$2+2=5$$

Synergy Principle

Cost Synergies

Hard Synergies

Immediate, tangible cost savings realized by eliminating overlaps and operational redundancies.

Revenue Synergies

Soft Synergies

Top-line revenue expansion achieved by merging complementary market capabilities.

Sources of Cost Synergies



Staffing

Eliminating redundancies across HR, Finance, and Legal departments.



Facilities

Consolidating overlapping offices, warehouses, and plants.



Procurement

Unlocking supplier bulk discounts through larger scale.



IT Systems

Unifying software licenses, data centers, and IT infrastructure.

Cost Synergies in Practice



Exxon & Mobil (1999): Consolidated global refineries, supply networks, and corporate offices for multi-billion savings.



Tata Steel & Corus (2007): Optimized raw material procurement and secured direct access to European markets.



Sources of Revenue Synergies



Cross-Selling

Selling products of company A to the customer base of company B.



Geography

Entering new global regions via existing distribution channels.



R&D Innovation

Combining joint technologies to create novel offerings.



Brand Power

Leveraging brand equity to boost premium pricing power.

Revenue Synergy: Disney & Pixar

Strategic Strategic Fit (2006)

Disney acquired Pixar to revitalize its core animation pipeline and leverage Pixar's cutting-edge CGI tech & creative talent.

Synergy Value Creation

Monetized Pixar's iconic characters across Disney's global theme parks, consumer merchandise, and international streaming platforms.

KEY TAKEAWAYS

Strategic Execution Drives Value

Rigorous valuation, structured advisory, and post-merger integration unlock peak synergy value.

Image Sources



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